

Politico-Economic Analysis

A wise man once said, “No man is an island.” No person can work and live in isolation. External forces are constantly influencing an individual’s actions and affecting him. Similarly, no industry or company can exist in isolation. It may have splendid managers and a tremendous product. However, its sales and its costs are affected by factors, some of which are beyond its control — the world economy, price inflation, taxes and a host of others. It is important, therefore, to have an appreciation of the politico-economic factors that affect an industry and a company.